HERMÈS INTERNATIONAL

Equity Valuation | Financial Analysis | Investment Overview

RMS FP | Euronext Paris | Luxury Goods

Price	WACC
€1,897.50	**9.39%**
Market Cap	DCF Target
€200.4bn	**€946–€1,515**
EV	Implied Upside/Downside
€186.8bn	**–50% to –20%**

Hermès trades at a significant premium to luxury peers (22.8x EV/EBITDA vs 11.5x peer median) driven by exceptional brand positioning, 71.7% gross margins, and 18.9% 5-year revenue CAGR. Our DCF analysis implies a fair value range of €946–€1,515 vs. the current €1,897.50 share price, suggesting the stock is currently fully valued relative to fundamentals.

March 2025

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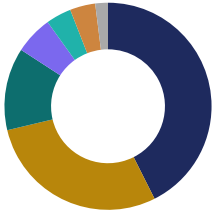
01 COMPANY PROFILE

Hermès International S.A. is the world's premier luxury house, founded in 1837 in Paris. The company is renowned for its artisanal craftsmanship, particularly in leather goods, silk, and ready-to-wear fashion.

The company operates through seven product segments: Leather Goods & Saddlery (43%), Clothing & Accessories (29%), Other Hermès Trades (13%), Silk & Textiles (6%), Watchmaking (4%), Perfume & Beauty (4%), and Other (2%).

The global personal luxury goods market reached €362bn in 2024, with Hermès commanding premium positioning and exceptional pricing power. The company's deliberate scarcity strategy and brand heritage drive

FY2024 Revenue by Segment



Leather Goods · Clothing & Acc. · Other Trades · Silk & Textiles · Watchmaking · Perfume · Other

€15,170mm	€7,003mm	€4,603mm	89%	0.0x
Revenue	EBITDA	Net Income	FCF Conversion	Net Debt/EBITDA
+13.0% YoY	46.2% margin	30.3% margin	Strong cash gen.	Net cash position

INVESTMENT THESIS

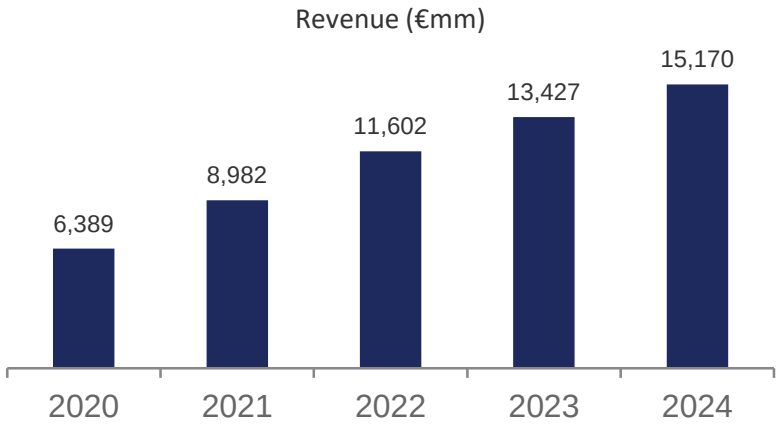
S Unparalleled brand equity; 71.7% gross margins; zero debt; generational family ownership

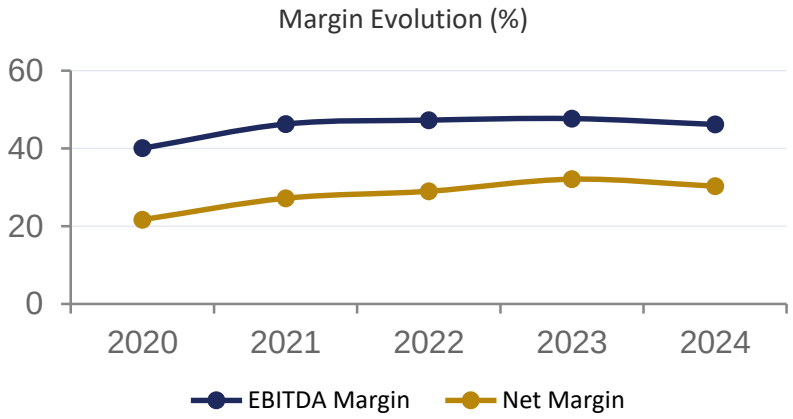
W Capacity constraints limit growth; high concentration in leather goods segment

O Asia-Pacific expansion; men's ready-to-wear growth; digital engagement

T Luxury demand cyclicality; China slowdown risk; counterfeit proliferation

02 HISTORICAL FINANCIAL PERFORMANCE





	2020A	2021A	2022A	2023A	2024A	2025E	2026E
Revenue	6,389	8,982	11,602	13,427	15,170	16,979	18,782
EBITDA	2,565	4,155	5,483	6,411	7,003	7,956	8,800
EBIT	2,056	3,594	4,876	5,745	6,192	7,162	7,949
Net Income	1,385	2,446	3,367	4,311	4,603	5,058	5,617
EBITDA Margin	40.1%	46.3%	47.3%	47.7%	46.2%	46.9%	46.9%
ROE	24.5%	30.8%	30.6%	31.8%	27.5%	—	—
FCF	1,215	2,920	3,733	3,581	4,102	4,496	5,154

03 KEY ASSUMPTIONS & FORECAST RATIONALE

Revenue Growth — 11.9% → 7.9%

Anchored to segment-level analysis. Leather Goods growing at 16.4% (2024), tapering to mid-single digits by 2029. Reflects maturation of the brand and capacity constraints on artisanal production.

Gross Margin — 71.7% (flat)

Held constant at FY2024 level. Hermès has maintained 70-73% gross margins for over a decade due to exceptional pricing power and vertical integration.

D&A / CapEx — 16.7% of PPE / 6.7% of Rev

Depreciation based on historical rate of beginning PP&E. CapEx reflects ongoing investment in production facilities and retail store network expansion.

Working Capital — DSO 12d / DPO 55d / DIO 237d

Inventory days reflect long production cycles for leather goods (2+ years for certain items). Receivables are minimal given direct retail model.

Effective Tax Rate — 29.0%

Historical 4-year average ETR. France corporate rate of 25% plus international blended exposure. No significant tax shields assumed.

Terminal Growth — 2.5%

Eurozone long-run nominal GDP proxy (ECB 2% inflation target + modest real growth). Conservative for luxury sector given structural tailwinds.

04 DCF VALUATION : WACC DERIVATION

WACC BUILD-UP

Risk-Free Rate (Rf)	3.23%	*10Y German Bund (Mar 2025)*
Equity Risk Premium	5.01%	*Damodaran implied ERP*
Levered Beta	1.23	*FactSet 5Y monthly regression*
Cost of Equity (Ke)	**9.39%**	*CAPM: Rf + β × ERP*
Pre-tax Cost of Debt	0.00%	*Net cash position*
Tax Rate	29.0%	*FY2024 effective rate*
After-tax Kd	**0.00%**	*Kd × (1-t)*
Equity Weight	100.0%	*Net cash position*
Debt Weight	0.0%	*No net debt*
WACC	**9.39%**	*Ke×We + Kd(1-t)×Wd*

WHY β = 1.23?

Beta sourced from FactSet 5-year monthly regression against the Euro Stoxx index. Hermès exhibits higher beta than defensive peers due to luxury sector cyclicality. However, the company's exceptional brand positioning and pricing power provide some downside protection. Cross-validated: LVMH (1.15), Richemont (1.28), Kering (1.35).

TERMINAL VALUE : TWO METHODS

Method 1: Perpetuity Growth

Terminal Growth Rate	2.5%
Terminal Year FCF	€6,647mm
PV of Terminal Value	**€66.0bn**

Method 2: Exit Multiple

Exit EV/EBITDA	16.6x
Term. EBITDA	€11.3bn
PV of TV	**€125.5bn**

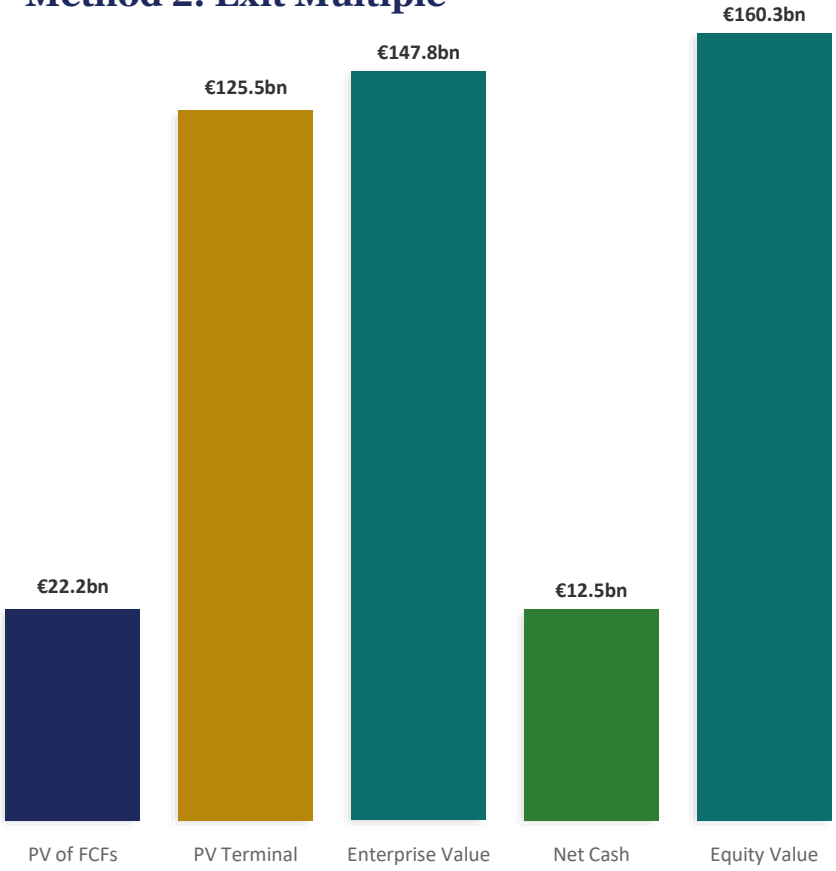
	2025E	2026E	2027E	2028E	2029E
EBIT	7,162	7,949	8,726	9,497	10,245
Less: Taxes on EBIT	(2,077)	(2,306)	(2,531)	(2,755)	(2,972)
Plus: D&A	794	852	920	997	1,082
Less: CapEx	(1,140)	(1,261)	(1,383)	(1,504)	(1,623)
Less: Δ NWC	(242)	(79)	(82)	(84)	(84)
Unlevered FCF	**4,496**	**5,154**	**5,650**	**6,152**	**6,647**

05 EV-TO-EQUITY BRIDGE

Method 1: Perpetuity Growth

÷ 105.6mm shares = **€946 per share**

Method 2: Exit Multiple



÷ 105.6mm shares = **€1,515 per share**

06 TRADING COMPARABLES

Company	Ticker	MktCap (€bn)	EV/Rev	EV/EBITDA	EV/EBIT	P/E
Hermès	RMS FP	€200.4	11.7x	22.8x	25.7x	43.1x
LVMH	MC FP	€250.0	3.2x	10.6x	14.5x	23.0x
Richemont	CFR SW	€84.2	3.5x	12.4x	17.1x	22.4x
Peer Mean			3.4x	11.5x	15.8x	22.7x

WHY THESE COMPS?

LVMH: Largest luxury conglomerate. Similar heritage brands (Louis Vuitton, Dior). Diversified across fashion, wines, perfumes.

Richemont: Hard luxury peer (Cartier, Van Cleef). Swiss-listed. Strong in jewelry and watchmaking — overlapping customer base.

HERMÈS PREMIUM TO PEERS

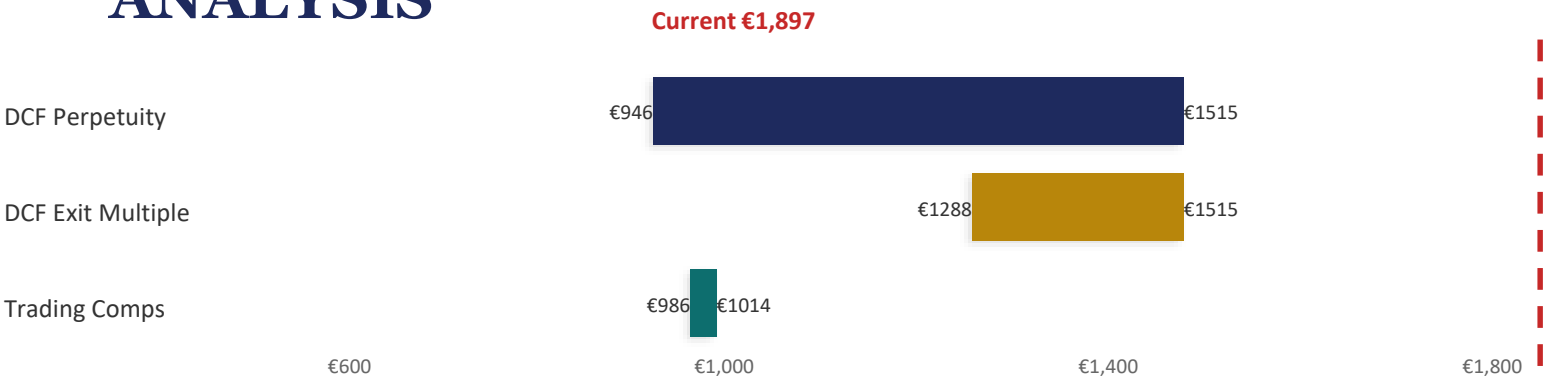
EV/Revenue	11.7x vs 3.4x mean	**+244% premium**
EV/EBITDA	22.8x vs 11.5x mean	**+98% premium**
P/E	43.1x vs 22.7x mean	**+90% premium**

The premium reflects Hermès's superior margins (46% EBITDA vs 25-30% peers), exceptional brand equity, and scarcity-driven demand. However, current multiples may fully price in these advantages.

COMPS-IMPLIED VALUATION

EV/EBITDA @ Peer Median (11.5x)	**€986**
EV/EBIT @ Peer Median (15.8x)	**€1,014**

07 VALUATION SUMMARY & SENSITIVITY ANALYSIS



WACC vs Terminal Growth — Implied Share Price (€)

WACC↓ / g→	1.5%	2.0%	2.5%	3.0%	3.5%
7.4%	€1,117	€1,194	€1,288	€1,403	€1,548
8.4%	€969	€1,023	€1,087	€1,162	€1,253
9.4%	€859	€898	**€944**	€996	€1,058
10.4%	€773	€803	€836	€875	€918
11.4%	€705	€729	€755	€784	€817

KEY FINDING

At base case assumptions (9.4% WACC, 2.5% g), DCF implies €944/share vs. current €1,898.

The stock appears ~50% overvalued relative to intrinsic value, suggesting the premium reflects future growth that may already be priced in.

All DCF and comps methodologies point to a valuation range of €946–€1,515, significantly below the current trading price of €1,898. This suggests Hermès is fully valued at current levels, with limited margin of safety for new investors.

08 SOURCES & FOOTNOTES

Ref	Source	Type	Data Used	URL / Reference
S1	Hermès Annual Report 2024	Company Filing	IS, BS, CF, KPIs	finance.hermes.com/en/annual-reports
S2	Hermès Universal Reg. Doc.	Company Filing	Full financials, MD&A	finance.hermes.com/en/regulated-info
S3	Hermès Investor Relations	Company IR	Earnings, presentations	finance.hermes.com/en/
S4	FactSet	Terminal	Beta, trading data, ERP	FactSet: RMS-FR
S5	Bloomberg Terminal	Terminal	Market data, multiples	RMS FP Equity
S6	European Central Bank	Govt	Risk-free rate (Bund)	ecb.europa.eu/stats/
S7	Bain & Co Luxury Report	3rd Party	Market sizing, trends	Bain Global Luxury 2024
S8	LVMH, Richemont Filings	Company Filing	Peer financials	Company IR websites

KEY FOOTNOTES

[1] Risk-free rate based on 10Y German Bund yield; Eurozone benchmark for EUR-denominated assets.

[2] Beta sourced from FactSet 5Y monthly regression against Euro Stoxx 50; levered beta used directly given net cash position.

[3] Terminal growth = 2.5% reflects long-term Eurozone nominal GDP; conservative relative to luxury sector growth.

[4] Exit EV/EBITDA multiple of 16.6x based on current Hermès trading multiple (acknowledging premium).

[5] Revenue growth driven by segment-level analysis; Leather Goods (43% of rev) anchors forecast.

[6] Gross margin held flat at 71.7% historical average; EBITDA expansion captured through operating leverage.

[7] CapEx at 6.7% of revenue; includes ongoing investment in production capacity and retail network.

PLEASE REFER TO EXCEL MODEL FOR MORE DETAILS ON METHODOLOGIES AND SOURCES